Q19

(i)

	Company S		Company T	
Gearing ratio	$\frac{70+40}{70+40+90+27}$	48% **[1]**	$\frac{60}{60+55+18}$	45% **[1]**
Interest cover	$\frac{52}{(70x10\%)+(40x5\%)}$	5.8 **[1]**	$\frac{34}{3}$	11.3 **[1]**
Current ratio	$\frac{20}{18-10}$	2.5 **[1]**	$\frac{16}{11-6}$	3.2 **[1]**

[6]

(ii)

The immediate impression created by these figures is that Company S has higher financial risk than Company T. [1]

Company S has slightly higher gearing, which could mean that any volatility in operating profit will be accentuated by the fixed amounts of interest and preference share capital. [1]

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Company S has a lower interest cover, which means that finance charges take up a greater proportion of operating profit. [1]
Company S could be in greater danger of slipping into loss because of the lower cover. [1]
Company S has a lower current ratio, which suggests that it could be at greater risk of running into liquidity problems. [1]
Those comparisons could, however, be misleading. The fact that Company S has a significant amount of its finance from preference shares gives it greater flexibility in the event of financial difficulties. [1]
It would be undesirable to default on a preference dividend, but it is unlikely that the company would suffer any serious penalty if it did. That reduces the financial risks. [1]
The lower interest cover is also less problematic because of the use of preference shares. Company S's loan interest is covered 52/(40x5%) = 26 times. [1]
The fact that Company T rents its factory also creates an additional financial risk. That is partly because of the need to maintain the payment of rent. Any disruption to Company T's cash flows could put it in a difficult position. [1]
There is also the possibility that Company S owns property that could be used to guarantee loans. [1]
If the companies run into financial difficulty, then Company S can offer its lenders additional security over its buildings. [1]
The current ratio could be slightly misleading because of the natures of the current assets held by the two companies. [1]
Company S has a higher proportion of liquid assets in the form of trade receivables and cash. That will make it easier to ensure that current liabilities are paid on time. [1]
Overall, Company S probably has the lower financial risk, based on the fact that its gearing arises partly from preference shares and partly because of its ownership of property. [1]

[Marks available 14, Maximum 10]

(iii)
It could be argued that the definition of current liabilities might be misleading because it focusses on amounts due within one year. [1]
Companies may have current liabilities, including tax, that are not payable for several months and so they are not current. [1]
It could be argued that the tax liability should be managed as a separate issue. For example, Company S should forecast its cash flows and make arrangements to raise the $10m over the next few months. [1]
That might encourage more efficient management of current assets because the company has effectively set aside the $10m and is making very little real use of it while waiting for the tax charge to become payable. [1]

[Maximum 4]
[Total 20]

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Commentary:
Part i was mixed, most candidates calculated the current ratio correctly, a reasonable number calculated interest cover correctly, but very few candidates calculated gearing correctly. Candidates struggled to use the correct formulae. *The answers to Part ii were not as good as expected. Some of the discussion was poor and the average mark for this question was slightly less than 5. Few candidates mentioned that company T rents its property and company S owns its property which would affect the risk. Few candidates discussed the nature of the current assets held by the companies. It is not enough to just say which company has higher or lower ratios and say whether that is good or bad, some reasonable discussion is required to score a high mark.* *Part iii was also poorer than expected the average mark was lower than 2. Candidates did not say much for this answer, they did not realise that taxation could take a while to pay and may not be a current liability.*